

The \$87.5 Million Escrow Gap: How Title and Law Firms Became the Engine of CRE Fraud

A lawsuit reveals a scheme where title companies and law firms enabled inflated valuations, excess leverage, and hidden kickbacks.

The most important number in the federal lawsuit against Riverside Abstract and Nussbaum Lowinger is not the \$87.5 million in missing escrow funds. It is the \$400 million that escrow clients are collectively pursuing. That gap between what was lost and what is being claimed tells the real story: this was not a single bad actor. It was a system designed to manufacture liquidity from trust.

The complaint, filed in Manhattan federal court by Blueberry Funding and Florida lender EADMK, alleges that Riverside and Nussbaum Lowinger operated as the infrastructure behind a years-long scheme stretching back to at least 2018. The formula was repeatable: a buyer would put a property under contract, assign it to a related entity at a substantially higher price, and use the inflated valuation to secure larger loans than the underlying asset justified.

Riverside handled title and closings, creating the appearance of a legitimate second sale even when little or no money changed hands. This is not a story about bad underwriting. It is a story about how the capital stack can be corrupted when the gatekeepers are compromised. One example cited in the lawsuit involves the Park at Crestview apartment complex in Austin.

The property allegedly went under contract for roughly \$40 million before being reassigned at a \$54 million valuation. That \$14 million gap enabled financing that exceeded the actual purchase price by nearly \$2 million. The spread did not go to the property. It went to the participants, including unusually large fees paid to Riverside, Nussbaum Lowinger, and affiliated parties.

The economics are straightforward: inflate the basis, extract excess leverage, and distribute the proceeds through fees and charitable donations that the complaint alleges were disguised kickbacks. The 1031 exchange funds became a source of liquidity that kept the machine running. Client money was quietly deployed as bridge financing for transactions, creating a cycle dependent on a constant flow of fresh deposits. For capital markets professionals, the case exposes a critical vulnerability.

Title companies and law firms sit at the center of every transaction. They verify ownership, hold escrow, and certify that the chain of title is clean. When those functions are captured by the same interests that benefit from inflated valuations, the entire capital stack becomes untrustworthy. The lenders who provided the loans against these inflated valuations are the most exposed.

They underwrote based on appraisals and title reports that were, according to the complaint, part of a fraudulent structure. The borrowers who relied on the escrow accounts to protect their funds are also at risk. The \$400 million in claims suggests that the damage extends far beyond the named plaintiffs. The timing matters. This lawsuit arrives as Nussbaum Lowinger has already collapsed, with Manhattan prosecutors charging Mark Nussbaum with diverting escrow money.

He has pleaded not guilty. Neither Nussbaum, former partner Samuel Lowinger, nor Riverside has been criminally charged with mortgage fraud. But the civil complaint provides a detailed roadmap of how the alleged scheme operated. For the broader market, the case is a reminder that liquidity is only as reliable as the institutions that facilitate it.

When title companies and law firms become profit centers rather than neutral intermediaries, the cost shows up not in fees but in failed transactions, contested ownership, and legal claims that take years to resolve. The next phase of this story will be about recovery. Can the plaintiffs trace and reclaim the \$87.5 million? Will the \$400 million in collective claims force additional disclosures?

And most importantly, will lenders and investors demand greater transparency from the service providers who sit at the center of every deal? The answer will determine whether this case is an isolated scandal or the beginning of a broader reckoning with how CRE capital flows through the system.

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